The physcology of money 💰

Hello my friends. Welcome back to Easy English The Podcast.
This video is very very important and super special for you Because Today I want to talk about money. Not how to earn money. Not how to invest money. But how people think about money. This is the biggest pain point. Many people earn money. But still feel poor. Many people save money. But still feel stressed. Many people invest money. But still lose money. Why does this happen. Because money is not only math. Money is psychology. And today. I will explain the full summary of the famous book. The Psychology of Money. In very easy English. Slow English. So you can listen. Understand. And improve your English. And your money thinking. Watch this video till the end. Because one idea in this video. Can completely change your financial life. Now let us begin.

The book The Psychology of Money is written by Morgan Housel. This book is not about numbers. It is about behavior. The author says. Doing well with money. Has little to do with how smart you are. It has more to do with how you behave. People with high IQ can make bad money decisions. People with simple thinking can become very rich. Because behavior matters more than knowledge.

First lesson. Everyone has a different money story. This is very important to understand. Every person grows up in a different environment. Some people grow up with very little money. Some people grow up with enough money. Some people grow up seeing debt. Some people grow up seeing savings. Because of this. Everyone thinks about money differently.
Your money habits start in childhood. If your parents struggled with money. You may fear losing money. You may save too much. You may avoid investing. If your parents spent money freely. You may think spending is normal. You may take more risks. You may not worry about savings. None of these are right or wrong. They are just different stories.
The book says. We all think our money decisions are logical. But most decisions are emotional. We react based on our past. Not based on facts. That is why. Two people can earn the same income. But live very different lives. One feels secure. One feels stressed. Because their money story is different.
This is why comparing yourself to others is dangerous. You do not know their background. You do not know their support system. You do not know their risks. Copying someone else's strategy. Can harm you. What works for them. May fail for you.
The author gives a simple idea. Good money decisions. Are personal. They should match your life. Your income. Your family. Your goals. And your tolerance for risk. Do not invest. Just because others are investing. Do not spend. Just because others are spending.
Instead. Ask yourself. What makes me feel safe. What helps me sleep at night. What kind of life do I want. Money should support your life. Not control your life.
So remember this lesson. Your money story is unique. Respect it. Understand it. And make decisions. That are right for you. Not for society. Not for social media. But for your peace and future.
Keep watching. Because the next lesson. Will show you. How luck and risk. Change everything about success.

Second lesson. Luck and risk play a big role in money. Many people do not like this idea. They want to believe success is only hard work. Hard work is important. But it is not the full story.
The book explains. Every success has luck inside it. Every failure has risk inside it. But we usually see only the result. We see rich people. We see successful investors. We do not see the millions who tried. And failed. This creates a false picture.
The author shares an example. Two people can work equally hard. One becomes very successful. One does not. Why. Because timing. Opportunities. Health. Family. And random events matter. These things are not in our control.

Luck is being in the right place. At the right time. With the right opportunity. Risk is the opposite. One bad event. One wrong decision. One market crash. Can destroy years of effort.
The problem is. People learn only from winners. They copy winners. But winners are only a small group. For every winner. There are many invisible losers. If we ignore this. We become overconfident. We take bigger risks. And we lose money.
The book teaches an important attitude. Be humble in success. Be kind in failure. Do not think. I am successful only because I am smart. And do not think. I failed because I am useless. Life is not that simple.
So what should we do. We should respect uncertainty. We should plan for bad outcomes. We should never risk everything. We should leave room for mistakes. This mindset protects us.
A smart person. Builds a plan. That survives bad luck. Not a plan. That depends on perfect luck. Because luck changes. Risk appears suddenly.
Remember this lesson. You cannot control luck. You cannot remove risk. But you can prepare for them. And that preparation. Is the key to long term success.
Keep watching. Because the next lesson. Will teach you. Why survival. Is more important than winning.

Third lesson. Survival is more important than growth. Many people want fast success. They want quick money. They want big returns. But they forget one thing. If you do not survive. Nothing else matters.
The book clearly says. The first rule of money is. Do not lose everything. If you lose all your money. You are out of the game. You cannot invest again. You cannot wait for growth. So staying alive financially. Is the real victory.
Many people take huge risks. They invest all their savings. They borrow money to invest. They believe one big win. Will change their life. Sometimes it works. Most of the time it does not. One bad decision. One market crash. Can destroy years of effort.
The author introduces the idea. Margin of safety. This means. Always keep extra money. Extra time. Extra patience. So when something bad happens. You can survive. Unexpected events always come. Job loss. Medical emergency. Market crash. If you are not prepared. You will panic.
Rich people stay rich. Not because they are always right. But because they avoid big mistakes. They make many small mistakes. But they survive them. They do not bet everything. On one idea. One stock. Or one business.
Survival also means patience. When markets fall. When income is slow. When progress is boring. Many people quit. But those who survive. Eventually benefit. Time rewards survivors.
So remember this lesson. Winning is good. But surviving is necessary. Avoid decisions. That can destroy you. Protect yourself first. Then think about growth.
Keep watching. Because the next lesson. Will show you. How small growth. Over long time. Creates huge wealth.

Fourth lesson. Time is more powerful than talent. This lesson is about compounding. Compounding means. Small growth. Again and again. For a long time.
Many people think. To become rich. You need big wins. Big ideas. Or perfect timing. The book says. This is not true. You need patience. And time.
The author talks about Warren Buffett. He is one of the richest investors. People think. He is rich because he is very smart. Yes. He is smart. But the real reason. Is time. He started investing very early. And he never stopped. Most of his wealth. Came after the age of fifty.
Compounding works slowly. At first. You see very little change. This makes people bored. This makes people quit. But if you continue. Results grow faster. Later. Growth becomes powerful.
The biggest enemy of compounding. Is impatience. People want results now. They jump from one idea to another. They stop and start. Again and again. This breaks compounding.
You do not need to earn fast. You need to stay invested. You need to stay consistent. Even small amounts. Grow into big results. If you give them time.
This lesson teaches. Start early. Stay patient. Avoid panic. Avoid excitement. Let time do the heavy work. Because in money. Time beats speed.
Keep watching. Because the next lesson. Will explain. The difference between. Getting rich. And staying rich.

Fifth lesson. Getting rich and staying rich are not the same. Many people focus only on getting rich. They take big risks. They chase high returns. They want fast results. Sometimes this works. But often. It ends badly.
The book explains. Getting rich often needs risk. You try something new. You invest. You start a business. You take chances. This phase needs courage. But once you have money. The rules change.
Staying rich is about protection. It is about not losing what you have. It requires humility. And discipline. You must avoid unnecessary risks. You must avoid greed. Because greed says. Take more risk. You cannot lose now.
Many people lose wealth. After becoming successful. Because they think. They are special. They think. Rules do not apply to them. This is dangerous. Markets do not care. About your past success.
Staying rich means. Being careful. Keeping savings. Diversifying investments. And planning for bad times. It means. Saying no. To tempting opportunities.
The book teaches. You do not need to be the best. You need to be careful. Wealth grows. When you protect it. Not when you show it.
Remember this lesson. Big success. Can disappear quickly. If you forget safety. True success. Is keeping your wealth. For a long time.
Keep watching. Because the next lesson. Will teach you. Why knowing enough. Can make you happier than more.

Sixth lesson. Enough is never about numbers. It is about mindset. Many people believe. Happiness comes from more money. More income. More luxury. More status. But the book says. This thinking is dangerous.
The problem is. There is always someone richer. There is always something better. If you keep chasing more. You will never feel satisfied. This leads to stress. Jealousy. And poor decisions.
The author explains. The most powerful word in money. Is enough. When you know what is enough. You stop taking unnecessary risks. You stop comparing your life. With others. You start protecting what you have.
Many people lose everything. Not because they are poor. But because they want more. They already have a good life. But greed pushes them. To risk it all. This is how wealth disappears.
Enough does not mean. You stop growing. It means. You grow with control. You grow with purpose. You grow without destroying your peace.
When you define enough. Money starts working for you. Not against you. You feel calm. You feel secure. You feel in control.
So remember this lesson. Chasing more. Can cost you everything. Knowing enough. Can give you freedom.
Keep watching. Because the next lesson. Will reveal. What real wealth looks like. And why most people never see it.

Seventh lesson.
Wealth is what you do not see.
Many people think being rich means showing money.
Expensive cars. Big houses. Luxury clothes.
But the book explains.
Real wealth is hidden.
It is in savings. Investments. Freedom.
It is what you have, not what you spend.
Spending money shows wealth.
Buying flashy items makes people think you are rich.
But real wealth is what you keep.
What you save. What grows silently over time.
The richest people often look simple.
They do not need to show off.
Because they have enough.
And they value control over appearance.
The author gives an example.

Someone may drive a modest car.
Live in a simple house.
But have millions invested.
Their wealth is working quietly.
Growing for the future.
Meanwhile, another person may spend a lot.
Borrow money.
Live beyond means.
They appear rich.
But they are not.
The lesson is simple.
Do not measure wealth by what you see.
Measure it by what you own.
By your freedom.
By your security.
By your ability to survive and grow.
Saving money builds wealth.
Spending money shows wealth.
If you want true financial freedom.
Focus on hidden wealth.
Not on visible wealth.

Eighth lesson.
Freedom is the highest form of wealth.
Money can buy many things.
Luxury items. Travel. Status.
But the best thing money can buy.
Is control over your time.
The author explains.
When you have freedom.
You can choose how to live.
You can say no to things you dislike.
You can spend time with family.
You can focus on health.
You can pursue your dreams.
Many people work for money.
But they do not control their life.
They are trapped in jobs.
Trapped by debt.
Trapped by obligations.
Even if they earn more.
They feel poor.
True wealth means freedom.
It means having options.
Options to take a break.
Options to change career.
Options to invest.
Options to enjoy life.
Money should serve you.
Not control you.
Rich people value freedom more than luxury.
They use money to buy time.
Time to live life on their terms.
The lesson is clear.
Focus on building freedom.
Not only income.
Not only assets.
But the ability to choose.
This is the real success of money.

Ninth lesson.
Reasonable is better than perfect.
Many people want the best investment.
The highest return.
The perfect plan.
But perfection is rare.
It is almost impossible.
The book explains.
It is better to be reasonable.
To choose a plan you can follow.
A plan that fits your personality.
A plan that you can stick with.
Because even a perfect plan fails.
If you cannot follow it.
Many people quit.
Because they panic.
They change strategies too often.
They chase new ideas.
This ruins long-term results.
Being reasonable means.
Choosing investments you understand.
Choosing savings plans you can maintain.
Choosing risks you can tolerate.
It is not exciting.
It is simple.
It is safe.
But it works.
Comfortable decisions last longer.
Reasonable strategies survive time.
Reasonable behavior beats intelligence.
Patience beats excitement.
This is why slow, steady actions win.
The lesson is simple.
Do not chase perfection.
Do what you can sustain.
Do what gives peace of mind.
Long-term consistency is better than short-term brilliance.

Tenth lesson.
Stories are more powerful than numbers.
People do not remember data.
People remember stories.
This is very important in money.
The author explains.
Many financial bubbles happen.
Many scams happen.
Why?
Because people believe stories.
They hear a story of huge profit.
They want the same success.
They ignore risks.
They ignore facts.
Numbers show probabilities.
Numbers show risks.
But humans follow emotions.
Stories feel exciting.
Stories feel real.
Stories are easier to believe.

The book teaches.
Always question stories.
Always ask.
What can go wrong?
What is the risk?
Do not follow only dreams.
Do not follow only hype.
Good investors think in probabilities.
Not in fantasies.
They balance hope with caution.
They prepare for failure.
They do not let stories control them.
Remember this lesson.
Stories are fun.
Stories can inspire.
But when it comes to money.
Numbers and preparation matter more.

Now let us summarize.
The Psychology of Money teaches us.
Money is not only numbers.
It is behavior.
Patience, discipline, and humility matter more than intelligence.
Time, compounding, and survival are key.
Know what is enough.
Focus on freedom.
Be reasonable.
Question stories.
Protect yourself from risks.
Build hidden wealth.
And think long-term.
If you apply these lessons.
You can improve your money life.
You can make better decisions.
You can reduce stress.
You can grow slowly and safely.
Thank you for watching.
If you enjoyed this slow English listening practice.
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And comment below.
Which lesson changed your thinking about money the most.
See you in the next video.
Keep learning. Keep growing.